End-to-End Structured Business Analysis: Corporate Profitability Decline (RevoShion Retail E-Commerce)

Anson
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RevoU FSDA Batch OCT25
linkedin.com/in/ansoncjm/

Project Background

RevoShion, a fast-growing e-commerce retailer, is facing a critical challenge within its Corporate sales segment. While the company is experiencing a healthy **20.4% growth in total sales**, the Corporate segment has seen a **sharp 13.6% decline in profit**, despite an increase in its own sales volume. This paradoxical trend suggests a fundamental inefficiency where increased activity is not translating into financial health within a key business area.

This unexpected downturn in Corporate segment profitability is raising serious concerns within the management team. There is growing fear that continued underperformance in this segment could negatively impact overall company profitability, erode investor confidence, and potentially jeopardize future growth initiatives, despite strong performance elsewhere.

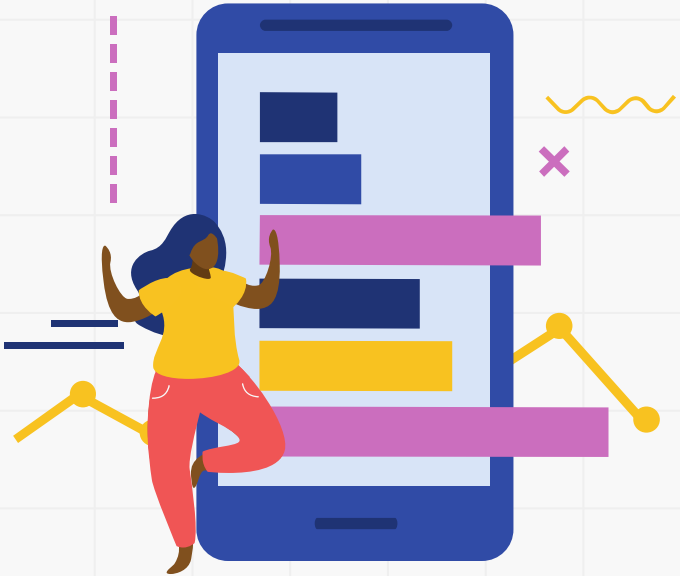
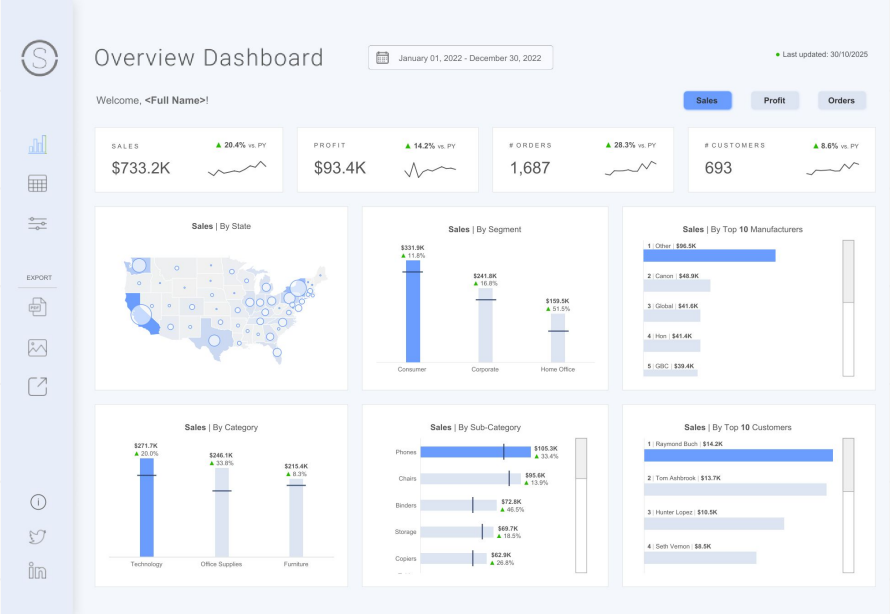


Tableau Dashboard



Disclaimer!

1, This analysis is based on publicly available dataset and does not reflect real-world financial or business insights.

2, RevoShion is a fictional entity, and the results presented here are purely for educational purposes

Superstore Dashboard by Priya Padham

Link to Dashboard

DARCI

Decider	CEO
Accountable	Corporate Sales Manager / Head Of Data
Responsible	Data Analyst
Consulted	Finance Team, Product Team, Operations Lead
Informed	Corporate Sales Team, Marketing Team, Warehouse Team

Problem Statement

How can we **increase profit** in the Corporate segment by **at least 5%** within the **next quarter (Q1 2026)** to restore its financial contribution to the company?

Objective

To identify the **top 3 root causes** of the **13.6% decline in Corporate segment profit** by analyzing segment, category, and sub-category performance metrics from the dashboard, and propose at least **3 data-driven initiatives** that will collectively aim to **restore segment profit growth to at least +5%** within the **next quarter (Q1 2026)**.

RCA

Why did Corporate Segment Profit Decline (-13.6%)

- Shrinking Gross Margin (Revenue Decrease)
  - Negative Product Mix Shift
    - Increased sales volume of loss-makers
    - Corporate Focus Shifted Away From High-Margin Technology/Copiers
  - Excessive Price Erosion
    - Uncontrolled discounting by Sales reps to secure large deals.
    - Aggressive competitor pricing forcing margin cuts on key products.
- High Segment Concentration
  - Customer Concentration
    - Over-reliance on Top 5 Customers for majority of the remaining profit.
- Rising Operational Costs
  - Logistics Cost
    - Absorbing high shipping/ Freight Costs for bulk corporate deliveries
  - Customer Service & Support
    - High Expense for dedicated account management and service staff.

Hypothesis Prioritization & Metrics

Issue branch	Possible root cause	Hypothesis	Prioritization	Metrics	Metrics reason
Shrinking Gross Margin (Revenue Decrease)	Increased sales volume of loss-makers	The -13.6% profit decline is primarily caused by an increase in sales volume of products with negative Gross Margin, specifically Furniture.	High	Gross Margin % by Category (Corporate Segment)	This metric directly tests if the sales increase is concentrated in products that lose money
	Corporate focus shifted away from high-margin Product	The proportion of high-profit sales (Technology/Copiers) in the Corporate segment's total revenue mix decreased significantly compared to the previous year.	High	Sales Volume Mix by Sub-Category	Measures the relative share of high-profit items (Copiers are $25.0K contributor) to test if their importance in the mix has declined, diluting overall segment profit.
	Uncontrolled discounting by sales reps to secure large deals	The Average Discount Rate (ADR) applied to Corporate segment orders has increased, disproportionately eroding the profit margin.	Medium	Average Discount Rate (ADR)	Direct test of internal price leakage.
	Aggressive competitor pricing forcing margin cuts on key products.	RevoShion's pricing index for key profitable items (e.g., Technology) has fallen relative to competitors, indicating an externally forced margin cut.	Low	Shipping/Fulfillment Cost % of Revenue	Requires external data (competitive intelligence) to determine if the market is forcing prices down

Key Insights Summary

Information	Key Insight
Total Sales Up by 20.4%, Corporate Profit Down -13.6%	The sales-profit paradox proves margin is leaking due to discounting or pricing issues.
Furniture is losing -56.6% company-wide	The Corporate segment is likely increasing sales volume in loss-making products (Furniture), which is the primary driver of the -13.6% profit decline.
Copiers are a high-value at 41.1% profit driver	The quickest way to restore segment profitability is by strategically driving sales volume of high-margin items like Copiers.

Recommendations (OBIPR Framework)

Category	Business Impact	Isolation	Prioritization	Recommendation
Product Mix Optimization	Continued sales volume growth will lead to further profit decline (the -13.6% loss will deepen) due to fulfillment of loss-making orders.	Loss-Making Category: The Furniture category is losing $3.0K company-wide, making its sales the guaranteed source of profit leakage.	High - Quick Win: A policy change that immediately prevents negative gross margin sales, offering the fastest reversal of the profit trend.	Immediately set a mandatory 5% Gross Margin requirement on all Furniture and Machines SKUs sold to the Corporate segment. Sales below this must be blocked or require VP-level approval.
Pricing Strategy	The paradox of Sales Up 20.4% / Profit Down -13.6% proves margin is leaking, preventing profitable scaling.	Sales Process: Discounts are being approved too easily by sales managers or reps without sufficient justification against profit goals.	High - Immediate Impact: Stops the internal sacrifice of revenue and puts control back into the hands of the Finance/Management team.	Cap all Corporate sales team discounts at 15% (on average) and require executive review for any one-off deals exceeding this threshold to protect the Gross Margin.
Sales Strategy	Failure to push high-margin products like Copiers means the overall profitability will remain diluted and vulnerable to further losses.	High-Profit Concentration: The company relies heavily on Copiers and Technology for stability.	Medium - Strategic Value: Shifts the sales team's focus from "total sales" to "total profit" using existing profitable inventory.	Launch a "Copier Refresh Bundle" in Q1 2026 that makes a discount on high-margin Technology contingent on purchasing a minimum volume of profitable Office Supplies.

Conclusions

Key Takeaways:

- **Top Root Causes:**

  The primary driver of the Corporate segment's -13.6% profit decline is a **Negative Product Mix Shift** toward **high-volume**, **loss-making categories** like Furniture (which loses $3.0K company-wide) and Corporate Focus **Shifted Away** From **High Margin Product** (Copiers). The secondary cause is **Excessive Price Erosion** (uncontrolled discounting).

- **Segment Underperformance:**

  The Corporate segment's 26.8K profit is now the lowest major contribution, making it a critical underperformer.

- **High-Value Leverage:**

  Overall company profit is heavily dependent on high-margin products like **Copiers** ($25.0K profit contribution).

Prioritization Highlights:

- ⭐ **High-priority fixes: Eliminate loss-making sales** (e.g., set minimum margin on Furniture) and **Cap sales team discounting** to immediately protect gross margin.
- ⚠️ **Medium-priority fix: Launch high-profit bundles** (Copiers + Supplies) to strategically increase the revenue mix and secure segment growth.

Data-Driven Clarity Enables Action:

The clear identification of a loss-making product mix and margin leakage provides management with precise levers to pull. The problem is not sales volume, but **sales profitability**.

Business Impact Statement:

"By **eliminating loss-making product sales**, implementing strict **discount controls**, and strategically incentivizing **high-margin Technology bundles**, RevoShion can recover the Corporate segment profit trajectory and achieve a growth target of **at least +5% by Q1 2026**—restoring confidence in the Corporate channel's viability and sustaining overall company profitability."

Thanks!

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